

Olevel economics

Labour Market

Wage and non-wage factor

Equilibrium, dis-equilibrium and shifts

Differences in earnings

Elasticity of labour



By:-

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Labour Market

Wage factors affecting an individual's choice of occupation

Basic pay :- It refers to the amount of money that will be received by an employee before any additional payments or any deductions are made. This could be in a form of a wage paid weekly or an annual salary.

Overtime :- It refers to additional hours worked above the basic contracted number of hours. These are usually paid at a higher rate, e.g. time and a third, time and a half or double time.

Bonus :- It is an extra amount of money paid to an employee, usually for meeting a particular target.

Commission :- It is when a payment is made in proportion to the achievement of a target, e.g. a commission of 10% on all sales made by a person.

Earnings :- It refers to the total amount of money received by an employee once additional payments, such as overtime, bonus and commission, have been added.

Non-wage factors affecting an individual's choice of occupation

Job satisfaction:- It refers to the enjoyment and pleasure that a person gains from working in a particular occupation.

Career prospects:- Some people may wish to work in occupations where there are good opportunities for promotion and the enhancement of a career.

Fringe benefits:- Examples include subsidized housing, payment of school fees, a company car, subsidized transport, reduced prices for company products and subsidized meals.

Length of holidays:- Some occupations may be more attractive than others because they offer longer than average holidays.

Pension scheme:- It is different for different occupations, especially in the amounts contributed by the employer versus the amount contributed by the employee.

Job security:- Some occupations may be regarded as more secure in terms of continued job prospects over a long period of time.

Location:- One factor affecting an individual's choice of occupation could be the location of a job, e.g. a job that is relatively close to friends and family.

Working conditions:- Occupations may differ in terms of the working conditions of a job, e.g. in terms of health and safety.

Flexi time:- Some jobs offer flexible hours e.g. starting early and leaving early.

Labour Market

Demand
for Labour

Employer's

wages ↑ Qty_{D_L} ↓
wages ↓ Qty_{D_L} ↑

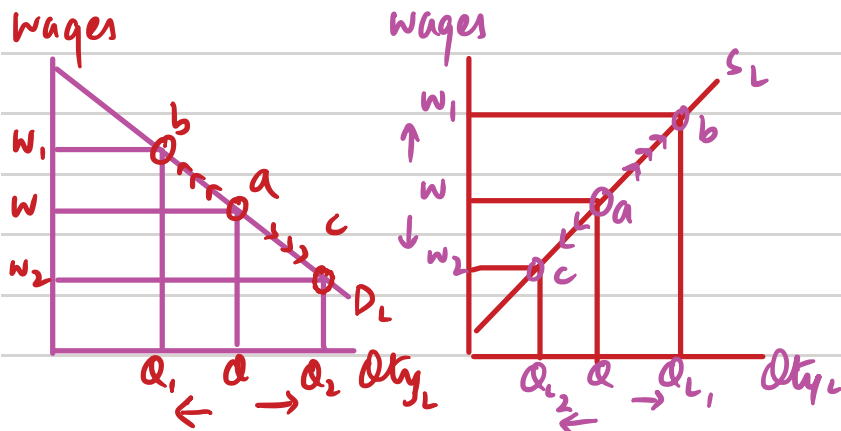
Negative
Relationship

Supply of
Labour

Employees

wages ↑ Qty_{S_L} ↑
wages ↓ Qty_{S_L} ↓

Positive
Relationship

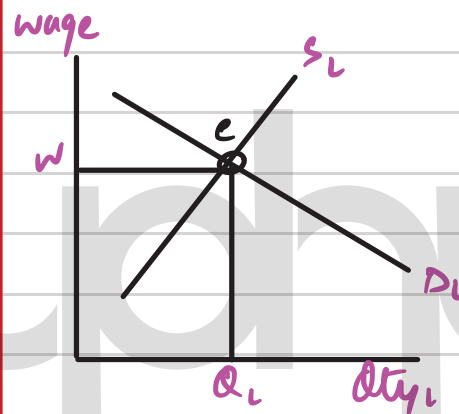


Remember:- In case of employees, an increase in wages will lead to increase in demand, which creates shortage of workers, thus higher wages attract workers to make them more available.

Labour Market

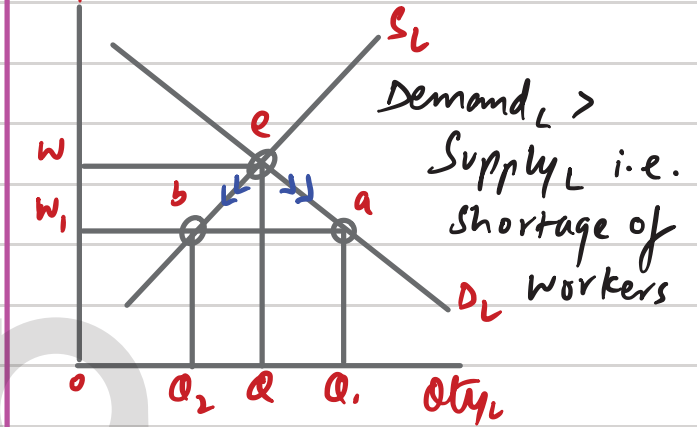
Equilibrium

$$D_L = S_L$$

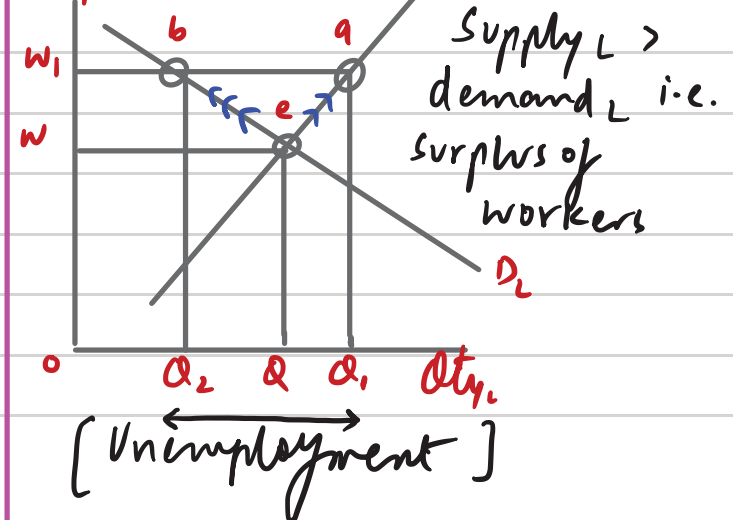


A position of rest where demand for labour and supply of labour are equal, causing equilibrium wage and equilibrium quantity of workers.

wages



wages



Wage determination

The influences of demand and supply :- Labour is a factor of production and has a price like any other factor. The price of labour is wage that is paid. This price, just like any other price in a market, is determined by the forces of demand and supply.

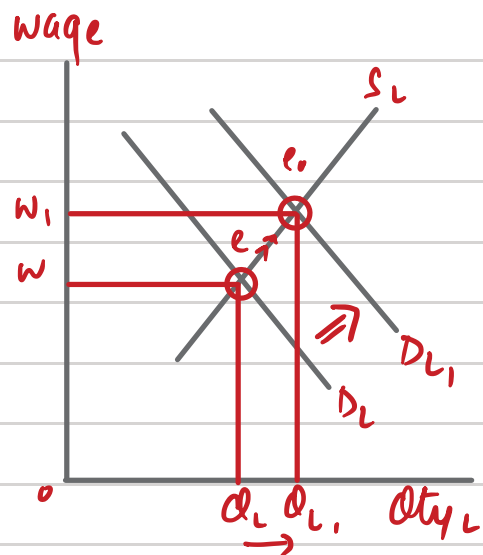
- o The demand for labour is not a demand for labour itself, but for what the labour can produce. This is why demand for labour is known as 'a' derived demand. The demand for labour, therefore, comes from producers seeking workers to produce products in combination with the other factors of production.
- o The supply of labour consists of the workers able and willing to work and the number of hours they are prepared to work.

Wage determination :- The price of labour, the wage, is determined in a labour market by the interaction of the demand for labour and the supply of labour, producing a market wage rate.

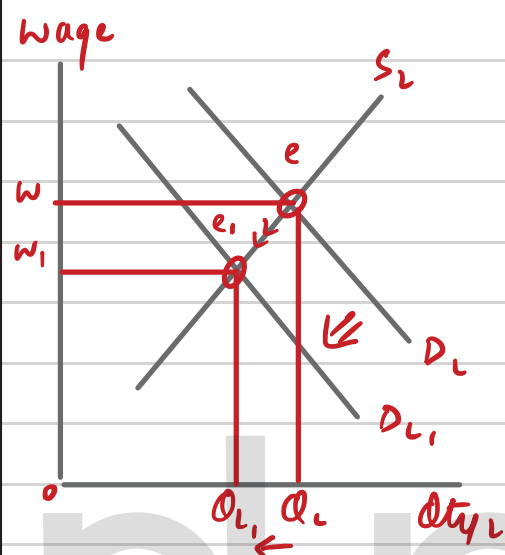
This wage rate will vary between different markets because of the relative strength of the demand and supply factors.

To a large extent, the demand for a particular type of worker is determined by the price of the products that the workers produce, given that the demand for labour is a derived demand. Workers producing more expensive products are likely to receive higher wages than those producing less expensive products. If the demand for the products is relatively inelastic, workers producing these products are likely to receive higher wages. If the demand for products is relatively elastic, workers producing these products are likely to receive lower wages.

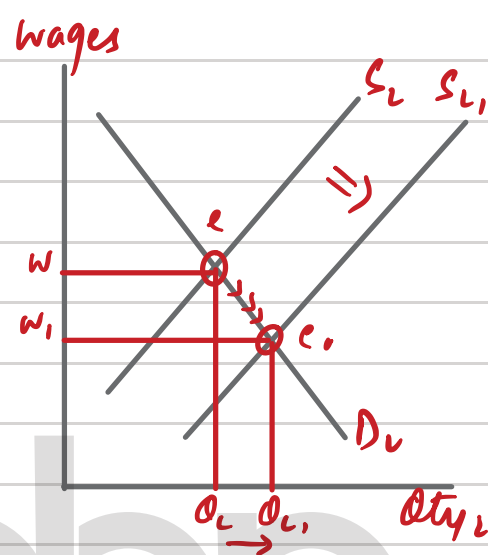
The supply of labour will be determined by the number of people with the necessary skills, qualifications and experience. When workers with these attributes are scarce, for example doctors, the supply of labour will be relatively inelastic and these workers are likely to receive higher wages. When workers with these attributes are plentiful, for e.g. hospital porters, the supply of labour will be elastic and therefore lower wages. When a job requires no skills or qualifications, such as hospital cleaners, the supply of such workers will be extremely elastic and so wages will be very low.



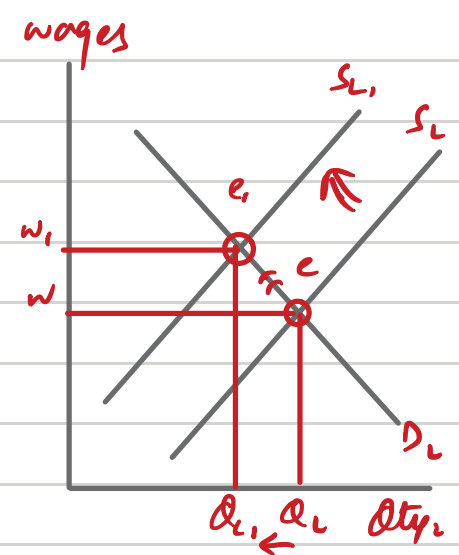
An increase in demand for labour because of increase in demand for product, causes shortage of workers, which causes equilibrium wage to rise which extends the equilibrium quantity of workers.



Decrease in demand for product will cause decrease in demand for labour causing surplus of workers, this reduces equilibrium wage, thus contracting equilibrium quantity of workers.



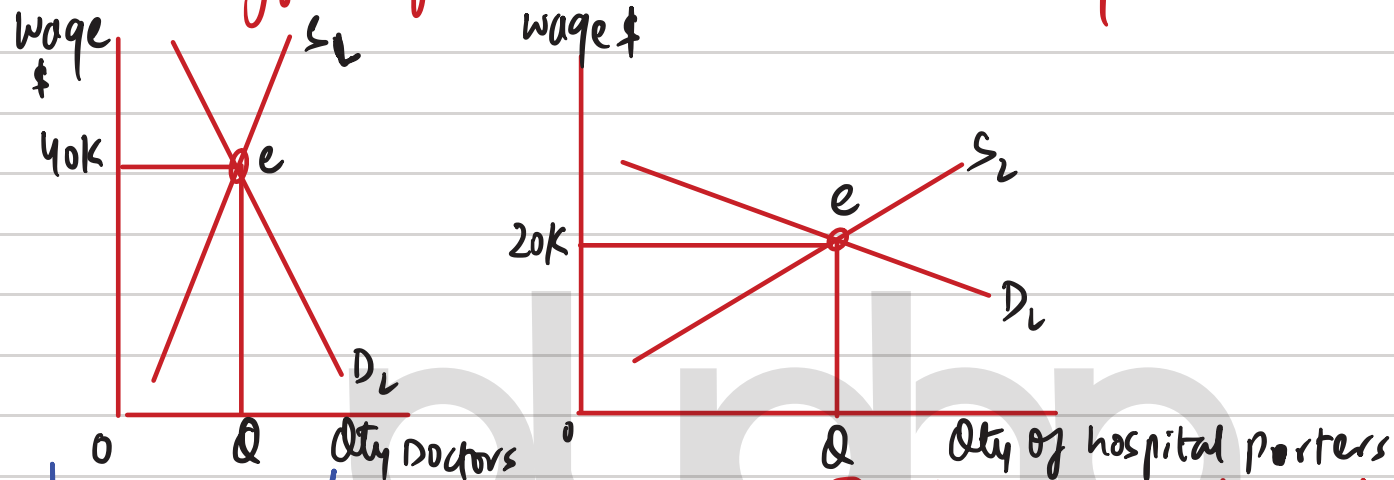
Increased immigration of workers can cause increase in supply of workers which will cause surplus of workers. This will reduce equilibrium wage and thus extension in equilibrium quantity of workers.



Increased Emigration can reduce the supply of workers causing shortage of workers. This increases equilibrium wage which contracts equilibrium quantity of workers.

Reasons for differences in earnings

* **Skilled/Unskilled workers** :- An important reason for differences in earnings between various types of workers is whether they are skilled or unskilled.



* **Primary/Secondary/Tertiary workers** :- It is important to distinguish between different occupational sectors. The primary sector refers to those workers employed in the first stage of the production process, for example, agriculture, fishing, forestry, mining and quarrying. The secondary sector refers to those workers employed in the second stage of the production process, e.g. manufacturing and construction. The tertiary refers to those workers employed in the third stage of the production process, such services as education and healthcare.

In most countries, the wages paid to workers in the primary sector, such as

agricultural labourers, are relatively low, often because such work is unskilled. The wages paid to workers in the secondary sector, such as car workers, are relatively higher, often because such work is semi-skilled or skilled. The wages paid to workers in the tertiary sector, such as teachers or accountants are relatively high because usually such jobs require workers to have been educated to degree standard.

* **Male/female workers** :- The wages paid to workers should reflect their skills, qualifications and experience, so there should not be a wage gap between male and female workers. However, such gap does exist, despite the existence of equal pay legislation in many countries. This is called the gender wage gap.

Of course, if female workers are less skilled, less qualified, less experienced, less likely to be in a trade union and more likely to be in part-time employment compared to men, then it is very likely that they will be paid on average less than men.

However, sometimes the wage differential is not due to these factors but to the existence of discrimination in the workplace. (Discrimination - a situation where one group of workers is treated less favourably than others).

* **Private/public sector** :- In many countries, workers in the public sector earn more

than those working in the private sector. This difference in earnings between the two sectors is called the public sector premium. The reason for the difference is because of the high level of education and professional training required to work in many public sector occupations. Public sector workers are more likely to be members of trade unions compared with those working in the private sector.

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Questions

Marks:- 44

- Q1 Using diagrams, explain equilibrium and dis-equilibrium under labour market ? 6
- Q2 Using a diagram, explain the effect of an increase in demand of labour on equilibrium wage and quantity of labour ? 6
- Q2 Using a diagram, explain the effect of an increase in supply of labour on equilibrium wage and quantity of labour ? 6
- Q2 Using a diagram, explain the effect of an decrease in demand of labour on equilibrium wage and quantity of labour ? 6
- Q2 Using a diagram, explain the effect of an decrease in supply of labour on equilibrium wage and quantity of labour ? 6
- Q6 Explain why do people earn different amounts ? 6
- Q7 Explain wage and non-wage factors affecting an individual choice of occupation ? 8